income families. Middle-income families would be provided credit-linked subsidies of up to ₹6–18 lakh a year. It also provided tax breaks of up to 25 per cent in tax collected at source (TCS) and tax deducted at source (TDS) rates. Fifty lakh street vendors were included in the list of beneficiaries as the package provided for up to ₹10, 000 working capital along with a micro-credit facility (PM SVANidhi). The free food grain scheme for migrants was extended for two more months amounting to ₹3,500 crore. Emergency working capital would be provided to farmers and concessional credit to two and a half crore farmers would be provided through Kisan Credit Cards. In tranche three, which the finance minister announced on 15 May, funds were to be provided for agri infrastructure projects, formalization of micro food enterprises, animal husbandry infrastructure development fund, funds for fishermen and funds for promotion of herbal cultivation and beekeeping initiatives. The policy push announced was that the Essential Commodities Act would be amended to free up agriculture marketing.

The borrowing limit of the states had been increased to more than 2 per cent of their GSDP. Interestingly, they were incentivized to adopt certain Centre-led policy initiatives in order to be able to borrow the full 2 per cent. In other words, while the Centre increased the borrowing limit of the states by an extra 2 per cent from what was earlier sanctioned, 1 per cent was made conditional on implementation of certain economic reforms. The Centre hoped that his kind of incentivization would nudge the states to adopt progressive policies to avail additional funds in the spirit of Centre–state *bhagidari*. There was a push for four policy reforms, which came with an attachment to borrowing an additional 0.25 per cent GSDP each. The first reform under the One Nation One Ration card policy required states to ensure that all ration cards in the state under the National Food Security Act were seeded with Aadhaar numbers of all family members. It also required states to ensure that all fair price shops were equipped with electronic points-of-sale devices. The second reform required states to ensure that the renewal of business-related licences under 7 Acts was made automatic, online and non-discretionary on payment of fees. The third reform required states to notify floor rates of property tax and of water and sewerage charges in consonance with stamp duty guideline values for property transactions and current costs respectively, in urban areas. The fourth reform would require the states to introduce direct benefit transfers in lieu